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Biometric cards offered by ICICI Prudential are equipped with the technology to store policy and transaction details so that villagers don't carry documents.

a single-premium policy of 10-year term, at the end of which the policyholder gets back his premium with a 25 per cent addition.

Some insurers have tied up with microfinance companies. Bajaj Allianz Life Insurance along with SKS Microfinance offer Swayam Shakti Suraksha for those who want to pay a premium of less than Rs 50 per month. By paying a premium of as low as Rs 45 per month, the beneficiary gets an assured sum which can even begin with Rs 2,500. The minimum policy term is five years and comes with additional accidental disability and death benefits.

There is also an emerging market for policies which addresses the immediate needs of farmers, says Rohtash Mal of Escorts Agri, which has launched Humrakshak in alliance with New India Assurance Company. A farmer gets personal accident cover ranging from Rs 3 lakh to Rs 7 lakh if he has purchased a tractor on or after May 1. Others like Bharati Axa and Max are making sure that policies are affordable, documentation is simple and sign-ups hassle free. Many are doing away with medical underwriting and supporting documents for age.

The best way to take insurance into rural areas is through biometric smart cards, points out Bhargav Dasgupta, executive director, ICICI Prudential, which launched them in Punjab and Andhra Pradesh. What is unique about these cards is the technology which stores all policy and transaction details. Such strategies are paying off. ICICI Prudential sold two lakh policies in the last quarter alone, though its rural share of the total business is just 7 per cent. Max has, against a target of 1.65 lakh policies, issued 1.89 lakh policies in 2007-08. The industry sold over five crore policies of which 1.1 crore were in rural areas.

However, much is riding on how companies market such products. Insurance is still not a volumes game in villages and the companies are



hard-pressed to keep costs minimal. Bharati Axa is targeting the mobile-savvy rural populace through the four lakh Airtel outlets in smaller towns and villages. Axa intends to leverage the Bharati network to sell products, get feedback and innovate on them, says Shyamal Saxena, chief distribution officer, Bharati Axa.

Tata AIG Life, too, has got around to the challenge of connecting with the rural people through Rural Community Insurance Groups. These groups of women partners travel around in company vans which double up as collection units. Elsewhere, Max has entered into a deal with Indian Oil to use its 2,000 kisan seva kendras across the country for the sale of its products. "In a business where trust and faith are the bottom-line, issues related to financial literacy and local culture have to be addressed," says Saxena, adding that Bharati Axa will work with village heads and teachers to market its products. Axa's policy forms are available in languages such as Gurmukhi, Gujarati, Telugu, Malayalam or Hindi. At ICICI Prudential's regional call centre, customers have the option of speaking in a regional language. Clearly, it's a win-win partnership for both the companies and villagers. ■

SET FOR LIFE: Max New York Life officials guide villagers through product details in Haryana (top); villagers throng an ICICI Pru fair in Gujarat